

aged portfolios. We played computer games to see how our ideas would have worked in the real world.

It was great fun for those who like that sort of thing. I don't happen to. As I recall, I spent more time playing foosball in a Menlo Park pub than sorting through stock tapes. Instead of figuring how to manage billions, I tried to figure how to manage thousands. *My thousands.* I finally came up with a personal investment program that worked for me. I call it a high-risk/low-risk program.

In a high-risk/low-risk program, you put most of your funds in low-risk IRAs, incentive and savings plans, employee stock plans, bank CDs, money-market accounts, savings deposits, and the like. Equity in your home, if you own a home, is also a low-risk investment. With the rest of your money, you take flyers: very high-risk investments that can produce extraordinary returns.

When I say high-risk or low-risk, I assume that low reward goes with low risk and that high reward can come with high risk. Things don't always work out that way. If you know of a low-risk, high-reward investment, by all means go for it. But here I assume the more normal case of risk and reward moving together.

As for your *low-risk* portfolio, make sure it's truly low-risk. Avoid "medium-risk" investments. Medium-risk investments offer only slightly higher returns ("medium" returns) but involve an unknown ("medium") amount of risk. Although that unknown risk is usually considered "slight" at the time of investment, medium-risk investments can go sour.

My friend Harry once bought a medium-risk investment. Harry owned a small liquor store and three bars. In 1976 he sold the businesses, stuck his money into bank CDs, and retired. But on a trip to Mexico in the late 1970s, Harry noticed that Mexican banks were offering 9 percent on dollar CDs. Harry was getting only 7 percent in the United States. He decided to stick \$100,000 into dollar CDs in Mexican banks.